EXECUTIVE SUMMARY

1. Introduction

Old folks in Amulung claim that the place got its name from a vine which was then abundant in the forest. Native called this vine " Am-a- mulung". Since then, the place came to be known as Amulung up to its operation as Municipality on December 15, 1734.

Amulung is 26 kilometers north of Tuguegarao City and could be reached in 35 minutes by land transportation. It has 47 barangays and classified as second (2nd) class Municipality covering an area of 24,220 hectares and populated by about 42,754 inhabitants.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991" extended the powers of the Local Government units to include not only on the ability to create sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the National Government's thrust for sustainable social and economic development.

The audit covered the accounts and operations of the Municipality of Amulung, Cagayan for the year 2015 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

2. Financial Highlights

For CY 2015, the financial information of the municipality is presented below:

Particulars	2015	2014	Increase/(Decrease)	
			Amount	Percentage
Financial Condition				
Assets	279,678,237.04	231,562,305.93	48,115,931.11	20.78%
Liabilities	56,623,427.55	46,937,956.07	9,685,471.48	20.63%
Government Equity	223,054,809.49	184,624,349.86	38,430,459.63	20.82%
Result of Operations				
Income	110,736,401.40	97,033,890.11	13,702,511.29	14.12%
Expenses	67,347,617.05	61,521,197.95	5,826,419.10	9.47%
Appropriations, Allotments and Obligations				

Total Appropriation	118,707,893.23	112,224,017.00	6,483,876.23	5.78%
Total Obligations	64,599,150.24	63,254,344.11	1,344,806.13	2.13%
Comparative Statements of Funds Received from NGAs, LGU, NGOs, & POs				
Nat'l Gov't Offices	14,776,019.70	7,337,090.00	7,438,929.70	101.39%
Local Gov't Units	-	6,794,780.00	(6,794,780.00)	
Comparative Statements of Funds Transferred to NGAs, LGU, NGOs, & POs				
Local Gov't Units	47,000.00	47,000.00		

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the fairness of the presentation of the financial statements due to the effects on the unreconciled balance of ₱4,829,425.35 between the book and bank balances as appearing in the Bank Reconciliation Statement for General Fund and management's inability to complete the conduct of physical count of PPE and to submit the Report thereon rendering the PPE accounts with a net book value of P77,054,917.06 unreliable.

4. Summary of Significant Observations and Recommendations

a. Cash advances granted to officials and employees of the municipality totaling P 141,542.92 remained unliquidated as at year end because there was no follow up made by management on demand letters issued to these officials and employees.

We recommend that management enforce strictly the submission of liquidation reports within the prescribed period.

b. Thirty one programmed development projects funded out of 20% IRA for CYs 2015 and prior years totaling P28,241,770.77 were not implemented at year end due to inability of management to properly implement these projects on time.

Likewise, cumulative unexpended balances of appropriation out of 20% IRA in prior years totaling P5,403,690.10 were not reverted to the unappropriated surplus that could be appropriated for other development projects.

We recommend that the Municipal Government implement projects as planned and address the causes of the delay in the implementation of the 31 programmed developmental projects in order to maximize utilization of funds and ultimately achieve desirable socio economic development and environmental outcomes in the municipality.

We also recommend that the unexpended balances pertaining to prior years of P5,403,690.10 be reverted and be appropriated for other development projects.

a. **The Municipality could have earned additional income of P495,600.00 from rental of public market stalls and could have stimulated economic activities in the locality had policies on rentals of stalls been reviewed to attract lessees of the 47 vacant stalls.**

We recommended to management to look into the causes of low occupation rate of its market stalls by reviewing their policies/guidelines in the granting of market stall rights, the required fixed deposit & rental rates taking into consideration the economic opportunities/activities that could be derive for leasing these stalls to stakeholders.

Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2015:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00
Disallowances					
Prior Years	₱18,245,142.40	0.00	0.00	₱18,245,142.40	₱0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	₱18,245,142.40	0.00	0.00	₱18,245,142.40	0.00
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

5. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of 15 audit recommendations contained in the CY 2014 Annual Audit Report, 7 were fully implemented, 4 were partially implemented and 4 were not implemented.